

Strategic Procurement & Capacity Report

Chief Procurement Orchestrator

July 2024

1 Executive Summary

Following cross-functional analysis of internal ERP inventory, digital trend validation, and local competitor market data, we confirm a remaining procurement budget of **1,872,500 TND** and available warehouse capacity of **5,125 m³**. Sixty SKUs exhibit exponential growth (rate 0.1903/month); the highest velocity categories are Scarves and Shorts. Full restocking of all viral SKUs for two months of predicted demand requires 19,699,920 TND (infeasible) but only 487.1 m³. We therefore prioritize Scarves and Shorts, allocating the entire remaining budget to acquire 14.26% of the full two-month projected volume for these 40 SKUs. Concurrently, 20 declining Jacket SKUs (−13.98%/month) should be cleared to recover 433 m³ and tied capital. Competitor stock-out analysis shows 44.4% of local listings for trending items are sold out, confirming market opportunity.

2 Recommended Procurement List

All amounts strictly respect the 1,872,500 TND budget and 5,125 m³ capacity.

2.1 Scarves (20 SKUs: SKU009,019,029,039,049,059,069,079,089,099,109,119,129,139,149,159,169,179,189,199,209)

- Quantity per SKU: **76 units** (scaled from 2-month predicted demand at 14.26% factor)
- Estimated cost per SKU: 46,807.78 TND
- Total Scarves quantity: 1,520 units
- Total Scarves cost: 936,155.61 TND

2.2 Shorts (20 SKUs: SKU005,015,025,035,045,055,065,075,085,095,105,115,125,135,145,155,165,175,185,195,205)

- Quantity per SKU: **137 units** (scaled from 2-month predicted demand at 14.26% factor)
- Estimated cost per SKU: 46,807.78 TND
- Total Shorts quantity: 2,740 units
- Total Shorts cost: 936,344.39 TND

2.3 Aggregate

Category	SKUs	Units/SKU	Total Units	Cost (TND)
Scarves	20	76	1,520	936,155.61
Shorts	20	137	2,740	936,344.39
Total	40	—	4,260	1,872,500.00

2.4 Deferred / Cleared

- **Dresses (20 SKUs) & Sneakers (20 SKUs):** Deferred pending supplier credit or next budget cycle.

- **Jackets (20 SKUs: SKU004,014,...,194):** Immediate clearance; recovers 433 m³ and frozen capital.

3 Capacity Utilization Forecast

Metric	Value	Unit
Available Capacity (pre-action)	5,125	m ³
Viral Restock Used (Scarves+Shorts)	324.7	m ³
Residual Free Capacity	4,800.3	m ³
Capacity Recovered from Jacket Clearance	433	m ³
Net Free Capacity Post-Plan	5,233.3	m ³
Budget Remaining Post-Procurement	0	TND

4 Risk Assessment

1. **Budget Risk:** Full viral demand unfunded; partial allocation may cause stock-outs if velocity accelerates beyond 14.26% coverage. Mitigation: negotiate supplier credit for Dresses/Sneakers.
2. **Supply Risk:** Competitors 44.4% sold out on trending SKUs; our limited buy may still underserve peak Coquette/Old Money demand.
3. **Clearance Execution:** Jacket decline at -13.98%/mo requires aggressive discounting; failure delays capacity recovery.
4. **Trend Validation:** All six validated trends (Gorpcore, Olive Cargo, Coquette, Techwear, Balletcore, Old Money) remain relevant mid-2024; alignment with Scarves (Coquette) and Shorts (Old Money) reduces trend-risk.
5. **Capacity:** Plan uses only 6.3% of free capacity; no overloading risk.